

result must be studied objectively, the possible remedies canvassed with thoroughness and the matter fully reported upon to the 59,000 owners of the business.

NOTE 46

The corporation statutes of most continental countries prescribe certain compulsory reserves, one of the functions of which is to facilitate maintenance of regular dividends. These reserves are accumulated from annual profits but ordinarily do not reach large proportions. The power to declare dividends usually resides in the stockholders assembled at the "general meeting" which is an annual affair, although provision for interim dividends is also made.

In England the Companies Act does not limit the dividend-declaring function to the annual "general meeting" of the shareholders; but the recommended form of by-laws (Table A of the statute) provides for this mode of declaration and it is the general custom in framing articles of association to stipulate that "the company in general meeting" or "the directors with the sanction of a general meeting," may declare annual dividends. See *First Schedule, Table A of the Companies Act, 1929*, 19 & 20 Geo. V., Chap. 23. A discussion of British dividend law and policies is available in *Palmer's Company Law*, 13th ed., pp. 222–223, 628, London, 1929.

The following statements summarize more detailed information concerning dividend policies of certain foreign corporations, given on p. 669–670 of the 1934 edition of this work, as well as the subsequent record in each case:

1. Royal Dutch Co. for the Working of Petroleum Wells in the Netherlands Indies, for the period 1920–1938, inclusive:

(a) Available for ordinary stock	Fl. 1,530,396,000
(b) Paid on ordinary stock	Fl. 1,497,293,000
(c) Percentage of earnings distributed in dividends	97.84

2. Siemens & Halske A. G., for the period 1925–1938, inclusive:

(a) Net profit	Rm. 150,893,000
(b) Dividends	124,419,000
(c) Directors' statutory bonus	3,458,000
(d) Special reserves ¹	25,550,000
(e) Balance	2,534,000(d.)

¹ Including 3,000,000 Rm. for welfare fund.

3. British-American Tobacco Co., Ltd., for fiscal years ending Sept. 30, 1921 to Sept. 30, 1938, inclusive:

(a) Net income available for ordinary stock	£91,934,000
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